

New Income Tax Draft Rules 2026

- By Ankit Agrawal

Income Tax Draft Rules 2026: 10 Key Changes That Will Affect Your Money

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CBDT unveils Draft Income-tax Rules, 2026, replacing 1962 rules. Key changes impact PAN requirements, HRA, property, insurance, vehicles, crypto, and simplify rules from April 1.

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CONTEXT: WHAT IS HAPPENING IN INDIAN TAXATION?

India is moving from the **Income-tax Act, 1961** to a **new Income-tax Act, 2025**, which will apply from **1 April 2026 (AY 2026-27)**.

To operationalise the new Act, the government has released **Draft Income-tax Rules, 2026**.

These rules are *not just procedural* — they materially affect how exemptions and allowances are calculated.

This is where the **old tax regime unexpectedly gets a boost**.

What Are the *Draft Income-tax Rules, 2026*?

The *Income-tax Act, 2025* modernises the structure and substance of Indian tax law. But **rules** are what turn the law into real-world compliance — they govern:

- how taxpayers must file returns,
- what forms to use and how,
- when PAN or other details must be quoted,
- how authorities compute income or value perquisites,
- what documents must be maintained, and
- how assessments and refunds are handled.

These draft rules will replace the **Income-tax Rules, 1962**, a six-decade-old procedural framework — a major overhaul affecting all taxpayers.

OLD VS NEW TAX REGIME

Old Tax Regime

- Higher slab rates
- BUT allows:
  - HRA exemption
  - LTA
  - Children education allowance
  - Hostel allowance
  - Transport allowance (for disabled)
  - Standard deduction
  - Chapter VI-A deductions (80C, 80D, etc.)

New Tax Regime

- Lower slab rates
- BUT **most exemptions & deductions removed**
- Designed for simplicity, not tax planning

Tax slabs: Old and new

Slab (₹)	Existing tax rates	New tax rates
0-2.5 lakh	Exempt	Exempt
2.5-5 lakh	5%	5%
5-7.5 lakh	20%	10%
7.5-10 lakh	20%	15%
10-12.5 lakh	30%	20%
12.5-15 lakh	30%	25%
Above 15 lakh	30%	30%

Policy expectation till now:

Old regime will slowly become irrelevant and taxpayers will shift to the new regime.

Draft rules changed this assumption.

WHY THE DRAFT RULES BRING THE OLD REGIME "BACK INTO FOCUS"

MASSIVE REVISION OF LONG-IGNORED ALLOWANCES

Many allowances under the old regime had **not been revised for decades**, making them meaningless due to inflation.

Children's Education Allowance

Earlier	Draft Rules
₹100 per month per child	₹3,000 per month per child
Max 2 children	Max 2 children

Annual exemption per child rises from **₹1,200 → ₹36,000**

Hostel Expenditure Allowance

Earlier	Draft Rules
₹300 per month per child	₹9,000 per month per child

HRA EXEMPTION: METRO DEFINITION EXPANDED

Old Rule (Till Now)

- 50% of salary allowed as HRA exemption **only in 4 metros**:
  - Delhi
  - Mumbai
  - Kolkata
  - Chennai
- All other cities: 40%

Draft Rules Proposal

Several **high-cost urban centres** are proposed to be treated at par with metros, such as:

- Bengaluru
- Hyderabad
- Pune
- Ahmedabad

(illustrative list; final notification awaited)

Why this matters:

- Real estate costs in these cities are as high (or higher) than traditional metros
- Employees paying high rent were earlier **penalised by outdated rules**

Higher HRA exemption = **lower taxable salary** under old regime.

OLD REGIME IS NOT BEING PHASED OUT

The draft rules clearly show:

- Old regime provisions are **retained, detailed, and strengthened**
- No signal of compulsory migration to new regime

Policy message:

> "Choice will remain with taxpayers."

This reassures:

- Salaried middle class
- Families with dependents
- People with structured compensation

REAL TAX IMPACT: WHY OLD REGIME MAY BE BETTER AGAIN

Who benefits the most?

Salaried employees

People paying rent in big cities

Families with children in school/hostels

Employees with allowance-heavy salary structures

For such taxpayers:

- Enhanced exemptions + deductions
- Can **offset higher slab rates**
- Old regime may lead to **lower net tax** than new regime

Who may still prefer new regime?

Young professionals

Single taxpayers

No house rent / children / insurance

Prefer simplicity over planning

Key Proposed Changes

the most significant changes that could affect **salary earners, investors, businesses, and everyday transactions**:

Simplification: Fewer Rules and Forms

- The draft drastically reduces the number of rules from **511 down to around 333**.
- The number of compliance **forms is cut from ~399 to ~190**.
- This streamlines compliance and removes legacy clutter, making the tax code easier to navigate.

Impact for taxpayers: Easier filing processes, reduced confusion from old, overlapping provisions, and a more digital-first approach.

PAN Quoting Requirements Revised

One of the largest and most impactful changes affects **when you must quote your PAN (Permanent Account Number)** — a key tax identifier in India. The draft shifts the pattern from multiple small thresholds to **higher, annual thresholds based on total value of transactions**:

Cash Transactions

- **PAN will be required only if total cash deposits or withdrawals equal or exceed ₹10 lakh in a year** across all bank/post office/co-operative bank accounts.

Why this matters: Smaller cash dealings, like day-to-day banking, may not require PAN quoting at every step, easing compliance.

Motor Vehicles

- PAN must be quoted only if the **purchase price of a vehicle (including high-end motorcycles) exceeds ₹5 lakh**.

Property Deals

- For immovable property transactions (sale, purchase, gifts, joint development agreements etc.), PAN quoting is mandatory only if the **value exceeds ₹20 lakh**.

Hotels & Events

- Payments to hotels, restaurants, convention centres, banquet halls or event managers **require PAN only if each payment exceeds ₹1 lakh**.

Insurance Transactions

- PAN must be provided at the **start of an account-based relationship** with an insurer, even if premiums do not immediately exceed a specific amount. This is a change from the earlier rule where PAN was required only when annual life insurance premiums crossed ₹50,000.

Net effect: Higher thresholds and annual tracking mean **less frequent PAN quoting on everyday transactions** and more focus on monitoring larger, riskier financial flows.

New ITR Forms and Structure

The draft rules accompany **new Income-tax Return (ITR) forms** aligned with the *Income-tax Act, 2025*. These will be:

- **renumbered and restructured** to match the new Act's layout,
- **pre-filled with data already available to the tax department,**
- designed to **reduce errors and ease filing**, especially for individuals and small taxpayers.

Example: Instead of legacy forms built over decades, the new numbering and logic will follow clear category-wise templates (individual, business, capital gains, etc.).

Crypto & Digital Currency Reporting

- The draft requires **crypto exchanges to share information with the tax department**, tightening oversight on digital asset activities.
- **Central Bank Digital Currency (CBDC)** — India's digital rupee — is recognised as an accepted electronic payment mode.

Effect: This adds transparency and a formal tax reporting framework for digital finance and crypto transactions.

Tech-Driven Compliance Enhancements

The rules reaffirm a **technology-first tax system**, including:

- Faceless assessments,
- pre-filled returns,
- automated checks,
- and centralised electronic submissions.

These aim to reduce manual intervention, errors, and compliance burdens.

Public Consultation Phase

- These draft rules are *not final* — taxpayers, professionals, and businesses can submit feedback by **22 February 2026**.
- After review, the Central Board of Direct Taxes (CBDT) will finalise and notify the rules — likely by early **March 2026**.

Q. The first Income Tax in India was introduced in?

A) 1842

B) 1857

C) 1860

D) 1922



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